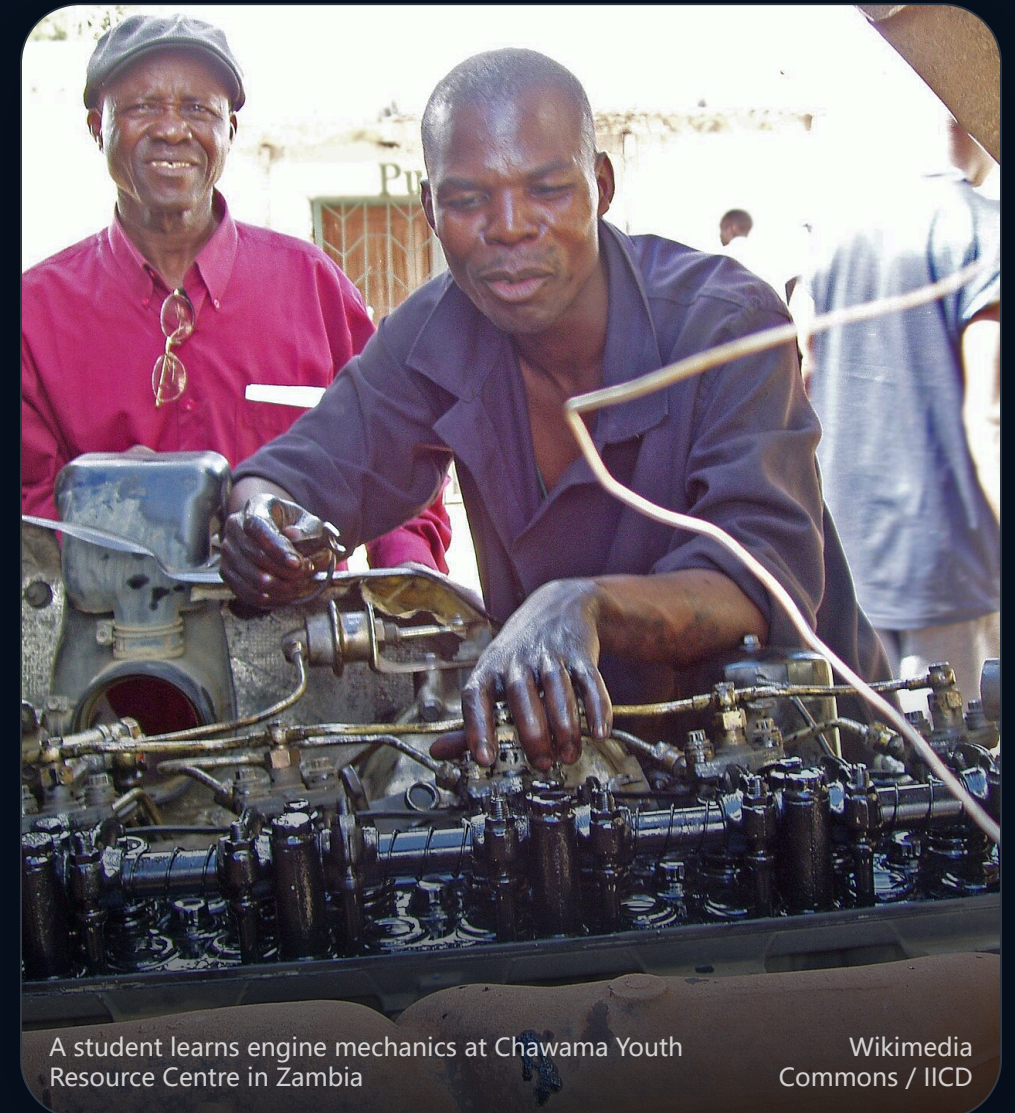


Supply-side policy — lesson 2

4.4.2 Supply-side measures

供给侧措施

Identify the policies and explain how they help production



A student learns engine mechanics at Chawama Youth Resource Centre in Zambia

Wikimedia Commons / IICD

Recall last lesson

RECALL

On paper, write one sentence for each term.

1 Supply-side policy

2 Interventionist supply-side policy

3 Market-based supply-side policy

Compare with a partner before revealing the model answers.

Recall last lesson

RECALL

On paper, write one sentence for each term.

1 Supply-side policy

Policy measures designed to increase productive capacity and total supply by improving the quantity, quality, efficiency or mobility of factors of production.

2 Interventionist supply-side policy

Government spending or direct support intended to improve the economy's ability to produce.

3 Market-based supply-side policy

Policy that uses market incentives and competition to improve the economy's ability to produce.

Compare with a partner before revealing the model answers.

Check

Which policy is interventionist?

- A** The government funds training for mechanics.
- B** The government reduces corporation tax.
- C** The government sells a state-owned firm.
- D** The government removes a barrier to new firms.

Check

Which policy is interventionist?

- A** The government funds training for mechanics.
- B** The government reduces corporation tax.
- C** The government sells a state-owned firm.
- D** The government removes a barrier to new firms.

Funding training provides direct government support. The other policies work mainly through market incentives.

By the end, you can

1

Identify the main supply-side policies and explain their effects.

识别主要供给侧政策并解释其作用。

2

Explain how training raises productivity and capacity.

解释培训如何提高生产率和生产能力。

3

Explain how retraining can reduce unemployment.

解释再培训如何减少失业。

Interventionist policies

干预型政策

POLICY	WHAT THE GOVERNMENT DOES	HOW IT HELPS PRODUCTION
1. Education and training 教育与培训	Funds schools and courses to develop workers' skills.	Better skills allow workers to produce more per hour.
2. Healthcare 医疗保健	Funds treatment and prevention of illness.	Healthier workers lose fewer working days and can produce more.
3. Infrastructure 基础设施	Builds or improves roads, power and internet networks.	Fewer delays and interruptions lower costs and help firms expand output.
4. Subsidies 补贴	Pays part of firms' training or new-technology costs.	Lower costs encourage skills and equipment investment, increasing the ability to produce.

CHECK

Name the policy and explain its effect

识别政策并解释作用

1

The government improves the road linking factories to a port. Name the policy. How could it help factories produce more?

2

The government pays part of a firm's new-machine costs. Name the policy. How could it increase the firm's ability to produce?

Write: 'The policy is This can increase production because'

CHECK

Name the policy and explain its effect

识别政策并解释作用

1 The government improves the road linking factories to a port. Name the policy. How could it help factories produce more?

Infrastructure

Faster deliveries reduce delays and transport costs, allowing firms to expand output.

2 The government pays part of a firm's new-machine costs. Name the policy. How could it increase the firm's ability to produce?

Subsidy

The payment makes new machines cheaper to buy, encouraging investment that can increase production.

Write: 'The policy is This can increase production because'

Market-based policies

市场型政策

POLICY	WHAT THE GOVERNMENT DOES	HOW IT HELPS PRODUCTION
5. Lower income tax 降低个人所得税	Reduces the tax rate on people's earnings.	Keeping more extra earnings may encourage people to work or work more hours.
6. Lower corporation tax 降低公司税	Reduces the tax rate on firms' profits.	Firms retain more profit to invest in equipment, so they may produce more.
7. Privatisation 私有化	Sells state-owned firms to private owners.	The incentive to earn profit may encourage managers to cut waste and raise efficiency.
8. Deregulation 放松管制	Removes or reduces rules, such as unnecessary licences.	Easier entry increases competition, encouraging firms to lower costs and improve efficiency.
9. Labour-market reform 劳动力市场改革	Changes employment rules, for example to make hiring easier.	Lower hiring costs may encourage firms to employ more workers and expand output.

CHECK

Name the policy and explain its effect

识别政策并解释作用

1 The government sells its bus company to private owners. Name the policy. Why might it reduce waste?

2 The government removes an unnecessary licence for opening a shop. Name the policy. How could it improve efficiency?

Give the specific policy name, then explain one effect using 'because'.

CHECK

Name the policy and explain its effect

识别政策并解释作用

1 The government sells its bus company to private owners. Name the policy. Why might it reduce waste?

Privatisation

Private owners seek profit, so they may reduce wasted fuel or staff time to lower costs.

2 The government removes an unnecessary licence for opening a shop. Name the policy. How could it improve efficiency?

Deregulation

More firms can enter, increasing competition and encouraging existing firms to reduce costs.

Give the specific policy name, then explain one effect using 'because'.

Capacity, efficiency and output

生产能力、效率与产出

- 1 Capacity, efficiency and output
- 2 Education and training
- 3 Retraining and unemployment
- 4 Healthcare and productivity
- 5 Infrastructure
- 6 Subsidies

**A workshop doubles its
workers and doubles its output.
Has productivity increased?**

KEY TERM

Productivity

生产率

DEFINITION

 or per unit of
factor input in a .

在一定时期内，每名工人或每单位生产要素投入所产生的产出。

KEY TERM

Productivity

生产率

DEFINITION

Output per worker or per unit of
factor input in a given period of time.

在一定时期内，每名工人或每单位生产要素投入所产生的产出。

Fill in the blanks

- 1 Before: 4 mechanics repair 8 cars per day. Output per worker =  cars per day.
- 2 After training: the same 4 mechanics repair 12 cars per day. Output per worker = .
- 3 Output per worker has risen, so  has increased.

Fill in the blanks

- 1 Before: 4 mechanics repair 8 cars per day. Output per worker = **2** cars per day.
- 2 After training: the same 4 mechanics repair 12 cars per day. Output per worker = **3 cars per day**.
- 3 Output per worker has risen, so **productivity** has increased.

KEY TERM

Efficiency

效率

DEFINITION

**Making better use of resources:
producing 
, or the same output with .**

更好地利用资源：用相同投入生产更多，或用更少投入生产相同产量。

KEY TERM

Efficiency

效率

DEFINITION

**Making better use of resources:
producing **more with the same inputs**
, or the same output with **fewer inputs**.**

更好地利用资源：用相同投入生产更多，或用更少投入生产相同产量。

Is the workshop more efficient?

- 1 It repairs the same number of cars with less wasted material and no extra labour.
- 2 It doubles every input and doubles output, with the same amount of waste per car.

Is the workshop more efficient?

1 It repairs the same number of cars with less wasted material and no extra labour.

Yes

It uses fewer resources for the same output.

2 It doubles every input and doubles output, with the same amount of waste per car.

No

It produces more, but has not improved output per input or reduced waste.

KEY TERM

Productive capacity

生产能力

DEFINITION

The  an economy can produce using its available .

一个经济体利用现有资源和技术所能生产的最大产量。

KEY TERM

Productive capacity

生产能力

DEFINITION

The **maximum output** an economy can produce using its available **resources and technology**.

一个经济体利用现有资源和技术所能生产的最大产量。

Check

A workshop can repair 12 cars a day, but has orders for only 8. What are its output and capacity?

A Output 12; capacity 8.

B Output 8; capacity 12.

C Output 8; capacity 8.

D Output 12; capacity 12.

Check

A workshop can repair 12 cars a day, but has orders for only 8. What are its output and capacity?

A Output 12; capacity 8.

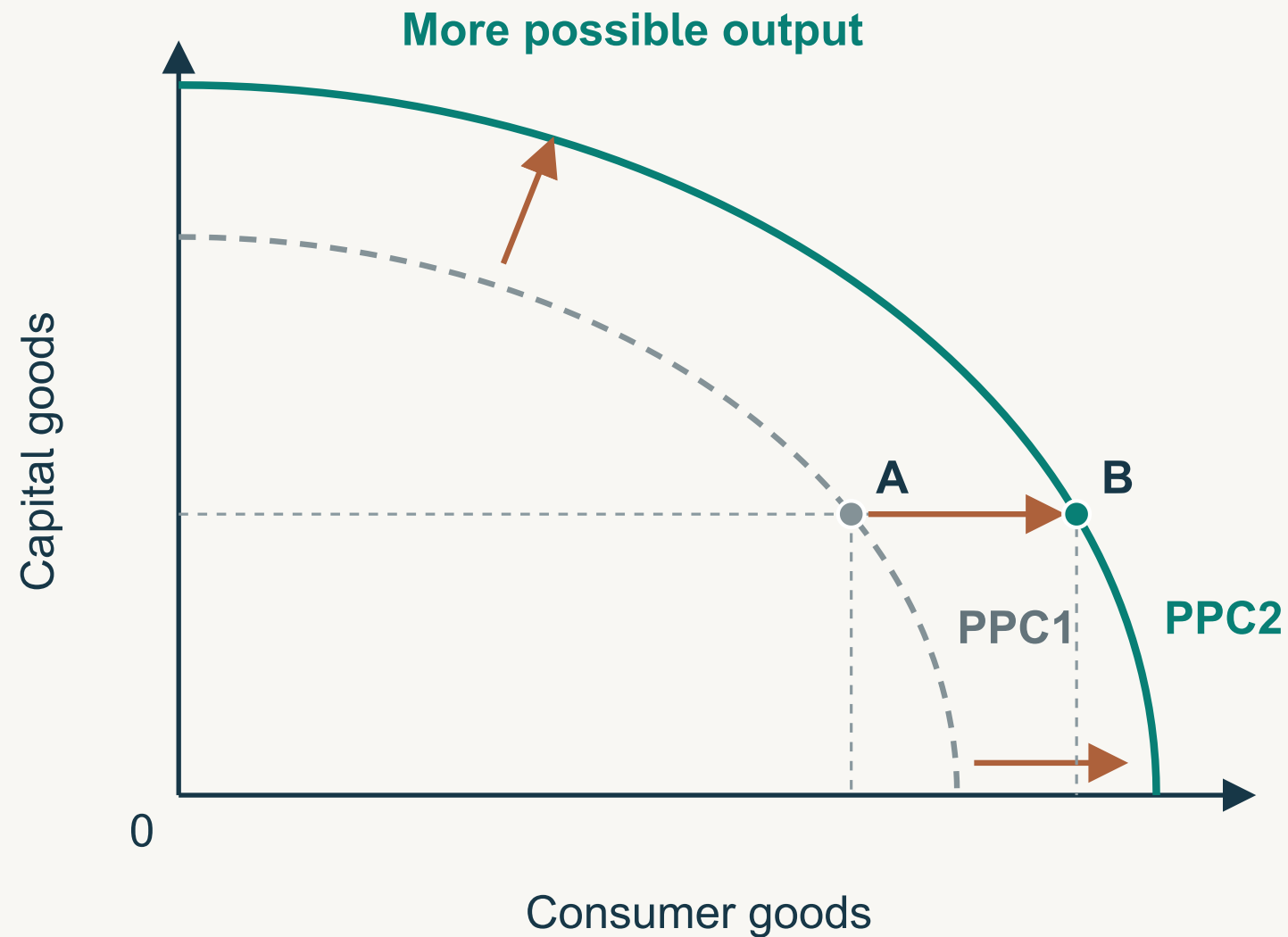
B Output 8; capacity 12.

C Output 8; capacity 8.

D Output 12; capacity 12.

Output is what is actually produced. Capacity is the maximum possible output, even when demand is too low to use it all.

**If better skills let the
economy produce more
with the same workers,
what happens to its PPC?**



Higher capacity shifts the PPC

STEP 4 / 4

Read what the shift means

At the same output of capital goods, the economy can produce more consumer goods.

资本品产量不变时，经济体能生产更多消费品。

Higher capacity means more possible output; demand affects how much is used.

Education and training

教育与培训

- 1 Capacity, efficiency and output
- 2 Education and training
- 3 Retraining and unemployment
- 4 Healthcare and productivity
- 5 Infrastructure
- 6 Subsidies



**Why might funding a mechanics
course increase supply
more than giving customers
money to buy repairs?**

Education and training

Education 教育

general knowledge and



maths and literacy prepare people for



Training 培训

job-specific



mechanics practise diagnosing and repairing



Education and training

Education 教育

general knowledge and **qualifications**

maths and literacy prepare people for
work

Training 培训

job-specific **skills**

mechanics practise diagnosing and repairing
engines

Education or training?

- 1 Practising engine repair is job-specific training.
- 2 Education can improve productivity even when it is not training for one job.

Education or training?

1 Practising engine repair is job-specific training.

Yes

It develops skills for a particular job.

2 Education can improve productivity even when it is not training for one job.

Yes

Literacy, numeracy and problem-solving help workers learn and work more effectively.

How training raises capacity

培训如何提高生产能力

1

Government funds worker



政府资助培训



2

Workers gain better



工人技能提高



3

Output per worker rises:
higher



每名工人的产出增加



4

The economy can produce
more: higher



生产能力提高

How training raises capacity

培训如何提高生产能力

1

Government funds worker
training

政府资助培训

2

Workers gain better
skills

工人技能提高

3

Output per worker rises:
higher **productivity**

每名工人的产出增加

4

The economy can produce
more: higher
productive capacity

生产能力提高

Complete the missing sentence

与同伴一起，用一个完整句子说明培训如何提高生产率。

1 The government funds practical training for mechanics.

2



3 The workshop's productive capacity can increase.

Complete the missing sentence

与同伴一起，用一个完整句子说明培训如何提高生产率。

1 The government funds practical training for mechanics.

2 Mechanics gain skills, so each worker can repair more cars in the same time.

3 The workshop's productive capacity can increase.

Retraining and unemployment

再培训与失业

- 1 Capacity, efficiency and output
- 2 Education and training
- 3 Retraining and unemployment
- 4 Healthcare and productivity
- 5 Infrastructure
- 6 Subsidies

**A factory closes, but local
garages need mechanics. Why
might the unemployed workers
still struggle to get jobs?**

KEY TERM

Occupational mobility

职业流动性

DEFINITION

The ability of workers to move
from .

工人从一种职业转向另一种职业的能力。

KEY TERM

Occupational mobility

职业流动性

DEFINITION

The ability of workers to move from **one type of job to another**.

工人从一种职业转向另一种职业的能力。

Check

Which change most directly improves occupational mobility?

- A** A bus service takes workers to the same job.
- B** Retraining gives former factory workers the skills to become mechanics.
- C** A shop receives more customer orders.
- D** The government lowers interest rates.

Check

Which change most directly improves occupational mobility?

- ☐ A A bus service takes workers to the same job.
- ☒ B Retraining gives former factory workers the skills to become mechanics.
- ☐ C A shop receives more customer orders.
- ☐ D The government lowers interest rates.

Retraining gives workers skills for a different occupation. Better transport mainly helps them reach jobs in different places.

How retraining can reduce unemployment

再培训如何减少失业

1

Workers learn skills through 

工人通过再培训学习技能



2

Their skills match available 

技能与现有岗位相匹配



3

Firms are more willing to  them

企业更愿意雇用他们



4

Skills-mismatch unemployment may 

技能不匹配造成的失业可能减少

How retraining can reduce unemployment

再培训如何减少失业

1

Workers learn skills
through **retraining**

工人通过再培训学习技能

>

2

Their skills match available
jobs

技能与现有岗位相匹配

>

3

Firms are more willing to
hire them

企业更愿意雇用他们

>

4

Skills-mismatch
unemployment may
fall

技能不匹配造成的失业可能减少

Does retraining guarantee a job?

- 1 A course guarantees employment even if there are no suitable vacancies.

Does retraining guarantee a job?

- 1 A course guarantees employment even if there are no suitable vacancies.

No

Training must match skills employers need, and suitable jobs must be available.

Explain how government-funded retraining may reduce unemployment. [4]

PLAN YOUR ANSWER

1
skills

2
vacancies

3
occupational mobility

4
employment

Write one developed explanation using the factory workers and garages example.

Explain how government-funded retraining may reduce unemployment. [4]

MODEL ANSWER

Government-funded retraining gives unemployed factory workers the **skills** needed to repair cars. Their **skills** can then match **vacancies** in local garages, improving **occupational mobility**. Garages may hire them because they can do the work required, so **employment** rises and **unemployment** falls.

Exit ticket

离堂小测

- 1 Output per worker in a given period is .
- 2 A rise in maximum possible output shifts the PPC .
- 3 Retraining helps when workers gain skills that match available .

Exit ticket

离堂小测

- 1 Output per worker in a given period is **productivity**.
- 2 A rise in maximum possible output shifts the PPC **outwards**.
- 3 Retraining helps when workers gain skills that match available **jobs**.

Healthcare and productivity

医疗保健与生产率

- 1 Capacity, efficiency and output
- 2 Education and training
- 3 Retraining and unemployment
- 4 Healthcare and productivity
- 5 Infrastructure
- 6 Subsidies

EMERGENCY ROOM

PHYSICAL EXAM
PHÒNG KHÁM SỨC KHỎE

PHYSICAL THERAPY
CLINIC
ORTHOPEDIC CLINIC

OUTPATIENT CLINIC

S-70



Two firms have equally skilled workers. Why might the firm with fewer days lost to illness produce more?

How healthcare supports output

医疗如何支持产出

1

Government improves



政府改善医疗服务



2

Less time is lost to



因病损失的时间减少



3

Workers can work more



工人能够更有效地工作



4

Productivity and total
supply may



生产率和总供给可能增加

How healthcare supports output

医疗如何支持产出

1

Government improves
healthcare

政府改善医疗服务

>

2

Less time is lost to
illness

因病损失的时间减少

>

3

Workers can work more
effectively

工人能够更有效地工作

>

4

Productivity and total
supply may **rise**

生产率和总供给可能增加

Check

Which explanation shows a supply-side effect of healthcare?

- A** Hospital spending always increases all prices.
- B** Healthier workers lose less working time and can produce more.
- C** All patients immediately become employed.
- D** The central bank lowers interest rates.

Check

Which explanation shows a supply-side effect of healthcare?

- ☐ A Hospital spending always increases all prices.
- ☒ B Healthier workers lose less working time and can produce more.
- ☐ C All patients immediately become employed.
- ☐ D The central bank lowers interest rates.

The supply-side link is healthier, more productive workers and increased output capacity.

Infrastructure

基础设施

1

Capacity,
efficiency
and
output

2

Educatio
n and
training

3

Retrainin
g and
unemplo
yment

4

Healthca
re and
producti
vity

5

Infrastru
cture

6

Subsidies



A firm has workers and machines, but deliveries are delayed for days. What could better transport change?

KEY TERM

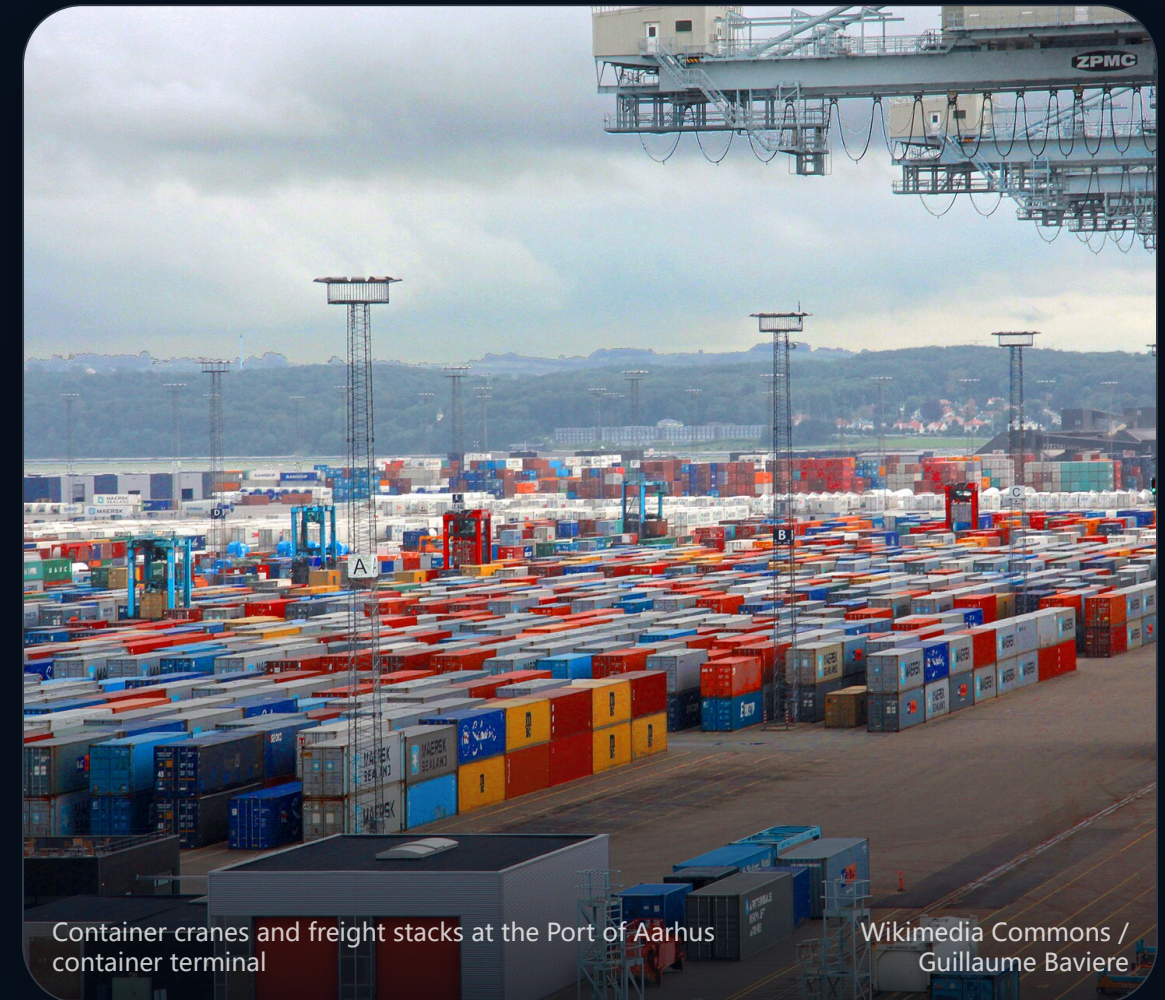
Infrastructure

基础设施

DEFINITION

The basic  that support economic activity, such as roads, ports, power and internet connections.

支持经济活动的基本设施和网络，例如道路、港口、电力和互联网连接。



Container cranes and freight stacks at the Port of Aarhus container terminal

Wikimedia Commons / Guillaume Baviere

KEY TERM

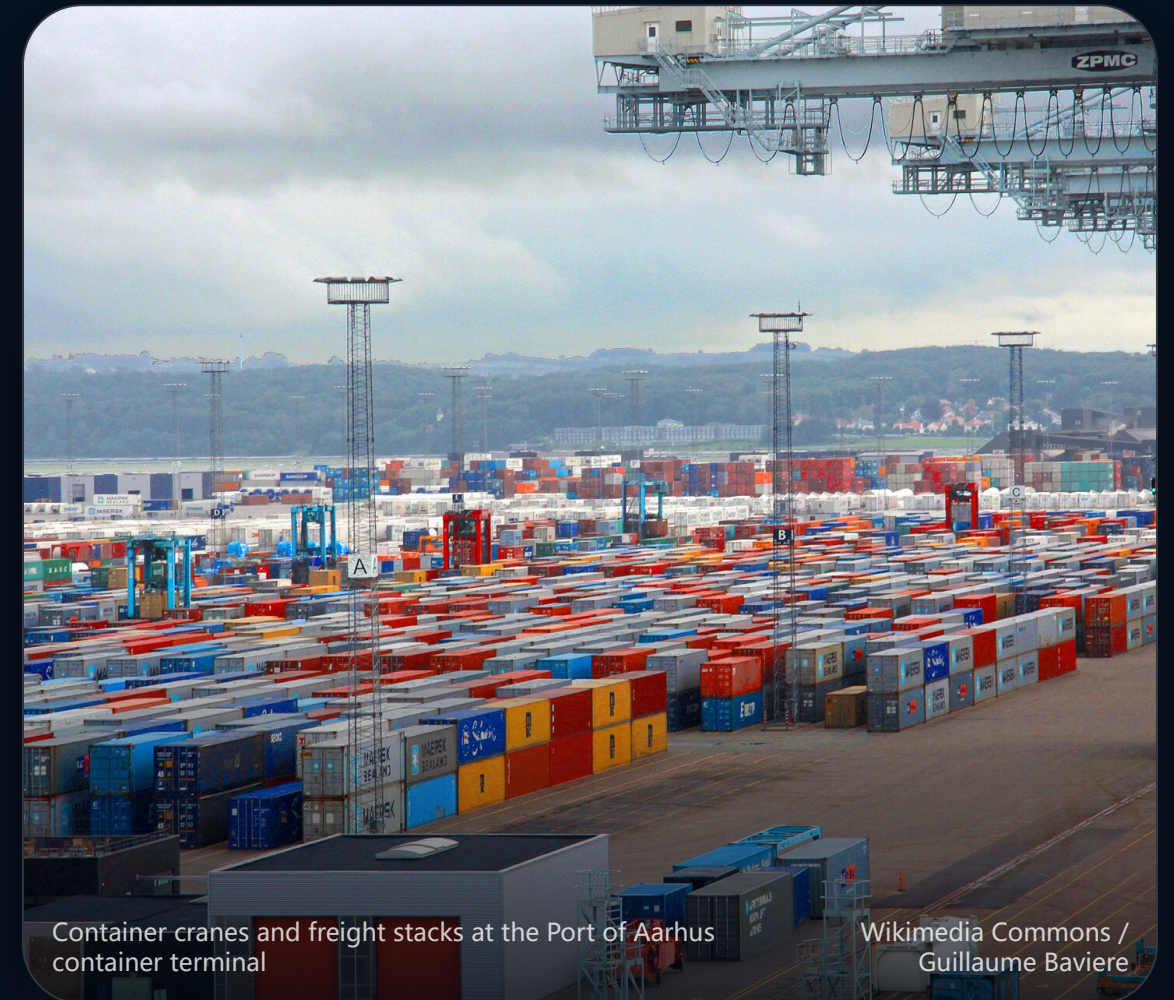
Infrastructure

基础设施

DEFINITION

The basic **facilities and networks** that support economic activity, such as roads, ports, power and internet connections.

支持经济活动的基本设施和网络，例如道路、港口、电力和互联网连接。



Container cranes and freight stacks at the Port of Aarhus container terminal

Wikimedia Commons / Guillaume Baviere

Check

Which is an example of infrastructure?

- ☐ A A mechanic's engine-repair skill.
- ☐ B A lower corporation tax rate.
- ☐ C A reliable electricity network.
- ☐ D A subsidy paid to a single shop.

Check

Which is an example of infrastructure?

A A mechanic's engine-repair skill.

B A lower corporation tax rate.

C A reliable electricity network.

D A subsidy paid to a single shop.

An electricity network supports production across many firms. Infrastructure is the supporting network, rather than a skill or tax incentive.

How infrastructure raises capacity

基础设施如何提高生产能力

1

Roads, ports and power become more



道路、港口和电力更加可靠



2

Production and delivery delays



生产和交货延误减少



3

Firms can produce and deliver



企业能够生产并交付更多产品



4

The economy's productive capacity may



经济体的生产能力可能提高

How infrastructure raises capacity

基础设施如何提高生产能力

1

Roads, ports and power
become more

reliable

道路、港口和电力更加可靠

>

2

Production and delivery
delays **fall**

生产和交货延误减少

>

3

Firms can produce and
deliver **more**

企业能够生产并交付更多产品

>

4

The economy's productive
capacity may **rise**

经济体的生产能力可能提高

Complete the missing sentence

与同伴一起，用一个完整句子解释新道路如何提高企业产量。

1 A new road reduces delays in deliveries to a factory.

2 

3 The factory can produce more output.

Complete the missing sentence

与同伴一起，用一个完整句子解释新道路如何提高企业产量。

1 A new road reduces delays in deliveries to a factory.

2 Materials arrive more reliably, so machines spend less time waiting for inputs.

3 The factory can produce more output.

Which kind of mobility?

- 1 A bus helps workers reach a job in another town: geographical mobility.
- 2 An engine-repair course mainly improves geographical mobility.

Which kind of mobility?

1 A bus helps workers reach a job in another town: geographical mobility.

Yes

The barrier is where the job is.

2 An engine-repair course mainly improves geographical mobility.

No

It mainly improves occupational mobility: the ability to do a different kind of job.

Subsidies

补贴

1

Capacity,
efficiency
and
output

2

Educatio
n and
training

3

Retrainin
g and
unemplo
yment

4

Healthca
re and
producti
vity

5

Infrastru
cture

6

Subsidies

**A small garage cannot
afford to train apprentices.
How could the government
make training cheaper?**

KEY TERM

Subsidy

补贴

DEFINITION

A  or financial
incentive to .

政府向生产者或消费者提供的付款或财政激励。

KEY TERM

Subsidy

补贴

DEFINITION

A **government payment** or financial incentive to **producers or consumers**.

政府向生产者或消费者提供的付款或财政激励。

Check

Which action is a training subsidy?

- ☒ A The government pays part of a garage's apprentice-training costs.
- ☐ B A bank offers its usual business loan.
- ☐ C The government sells shares in a state firm.
- ☐ D A garage raises prices to fund its own training.

Check

Which action is a training subsidy?

A The government pays part of a garage's apprentice-training costs.

B A bank offers its usual business loan.

C The government sells shares in a state firm.

D A garage raises prices to fund its own training.

The government provides financial support that lowers the private cost of training.

How a training subsidy helps

培训补贴如何发挥作用

1

Government pays part of the training



政府承担部分培训成本



2

Training becomes more for firms



企业更负担得起培训



3

More workers may gain



更多工人可能获得技能



4

Productivity and capacity may



生产率和生产能力可能提高

How a training subsidy helps

培训补贴如何发挥作用

1

Government pays part of
the training **cost**

政府承担部分培训成本

>

2

Training becomes more
affordable for firms

企业更负担得起培训

>

3

More workers may gain
skills

更多工人可能获得技能

>

4

Productivity and capacity
may **rise**

生产率和生产能力可能提高

Will every subsidy raise capacity?

- 1 A subsidy raises capacity even if it changes no skills, capital or efficiency.

Will every subsidy raise capacity?

- 1 A subsidy raises capacity even if it changes no skills, capital or efficiency.

No

A payment alone does not prove higher capacity. Explain how support changes resources, technology or their effective use.

Four forms of government support



Education and training

教育与培训

skills, productivity and job matching



Healthcare

医疗保健

health and productive working time



Infrastructure

基础设施

reliable networks and lower delays



Subsidies

补贴

financial support for supply improvements

Analyse how supply-side policy measures could reduce unemployment. [6]

PLAN YOUR ANSWER

1
training

2
skills

3
infrastructure

4
costs

Develop two explanations: one about workers' skills and one about firms or access to jobs.

Analyse how supply-side policy measures could reduce unemployment. [6]

MODEL ANSWER

Government-funded **training** can give unemployed workers the **skills** that firms need. This improves their **occupational mobility** and helps them match vacancies, so firms may hire them and structural unemployment may fall. Better transport **infrastructure** can reduce firms' delivery **costs**. Firms may then expand output and employ more workers. Better transport can also make it easier for unemployed workers to reach available jobs.

Exit ticket

离堂小测

- 1 Better healthcare can reduce working time lost through  .
- 2 Transport can improve  mobility.
- 3 Government financial support for producers is a  .

Exit ticket

离堂小测

- 1 Better healthcare can reduce working time lost through **illness** .
- 2 Transport can improve **geographical** mobility.
- 3 Government financial support for producers is a **subsidy** .